

RESERVE BANK OF INDIA

DEPARTMENT OF REGULATION, CENTRAL OFFICE, MUMBAI

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Guidelines on Digital Lending - Direct Disbursal, Cooling-off Period and Data Protection

1. All commercial banks, Primary Urban Co-operative Banks, and Non-Banking Financial Companies (NBFCs) are directed to adhere to the comprehensive regulatory framework for digital lending operations.
2. Direct Disbursal Requirement: Regulated Entities (REs) shall ensure that all loan disbursements and repayments are executed strictly directly between the bank account of the borrower and the Regulated Entity, without any pass-through or pool account of any Lending Service Provider (LSP) or third party. Any deduction of fees or charges shall be made directly by the RE from its own account.
3. Cooling-off and Look-up Period: A cooling-off or look-up period of not less than three calendar days shall be provided to borrowers for digital loans having a tenor of seven days or more. For digital loans having a tenor of less than seven days, the cooling-off period shall be not less than one calendar day. During this period, the borrower may exit the digital loan without any penalty by paying the principal amount and the proportionate APR.

4. Key Fact Statement (KFS): A standardized Key Fact Statement shall be provided to the borrower prior to the execution of the loan contract. The KFS must disclose the Annual Percentage Rate (APR), recovery mechanisms, details of the appointed Lending Service Provider, and the grievance redressal officer.
5. Storage of Borrower Data: LSPs and Digital Lending Apps (DLAs) shall not store any personal data of borrowers except basic minimal identifiers such as name, address, and verified contact details required for loan servicing. Biometric data shall never be stored under any circumstances. Access to mobile phone resources such as file storage, contact lists, and call logs is strictly prohibited.
6. Reporting to Credit Information Companies (CICs): REs must report all digital lending transactions, including delinquencies and restructured facilities, to all four licensed Credit Information Companies on a monthly basis, irrespective of loan amount or tenor.

7. Grievance Redressal Mechanism: Regulated Entities shall appoint a dedicated Nodal Grievance Redressal Officer to deal with complaints against digital lending apps and LSPs. The contact details of the Nodal Officer must be prominently displayed on the website of the RE and the DLA. Complaints must be resolved within a maximum period of 30 calendar days.
8. Escalation to Ombudsman: If a grievance lodged by a borrower is not resolved within 30 days or is rejected by the RE, the borrower may escalate the complaint to the Reserve Bank - Integrated Ombudsman Scheme (RB-IOS).
9. Annual Audit of Digital Lending Systems: Regulated Entities shall ensure that Digital Lending Apps and LSPs undergo an annual cybersecurity audit by CERT-In empanelled auditors confirming compliance with data localization and security controls.

10. First Loss Default Guarantee (FLDG) Norms: Contractual arrangements between Regulated Entities and LSPs involving Default Loss Guarantee (DLG) shall not exceed five percent (5 percent) of the total outstanding loan portfolio underwritten through the concerned LSP.

11. Form of DLG: Regulated Entities shall accept DLG only in the form of cash deposit, fixed deposits maintained with scheduled commercial banks with lien marked in favor of the RE, or bank guarantee in favor of the RE.

12. Monitoring of DLG Arrangements: Every RE entering into DLG arrangements shall put in place a Board-approved policy and an eligibility assessment of the DLG provider at least on an annual basis.

Yours faithfully,

(R. Lakshmi)

Chief General Manager